

Background Note to the Sri Lanka CGJR

Characterizing Sri Lanka's Labor Demand**Key findings**

1. **Aggregate labor demand has weakened over time, seen through employment rates and total hours worked.** In 2023, only 46% of Sri Lanka's working-age population was employed, down from 51% in 2013. Over the same period, total hours worked fell sharply from 39.7 million hours to 25.2 million. This weakening in labor demand is due to a withdrawal from the labor force, where both women's and men's participation rate dropped, and did so even when we account for Sri Lanka's ageing population structure.
2. **Youth are finding it harder to find employment, especially quality jobs.** For lower-educated young men entering the labor force, the probability of finding employment fell from 66% in 2017 to 55% in 2020 and was only 56% in 2023. For higher-educated young men, it fell from 68% to 62% and then to 59%, pointing to a worsening school-to-work transition even for more educated entrants.
3. **Private sector wage employment remains too limited and too small-scale.** Although 59% of workers were wage workers in 2023, private sector wage employment has remained stuck at roughly 30–40% of total employment over time. Firm structure is also highly fragmented: over 73% of all workers are in units with 0–4 workers, and even among wage workers, 49% are employed in firms with fewer than 5 workers.
4. **Real labor incomes have eroded, and wage work does not clearly outperform self-employment.** This is particularly odd as self-employment does not seem to be necessarily a worse-off fall back position for workers. Median labor income, in real 2021 prices, stood at LKR 20,057 per month in 2023, and it had contracted by 7% between 2013 and 2023. Average private sector wage income in 2023 was LKR 24,438, slightly below average self-employment income of LKR 25,849. After controlling for observable characteristics, wage employment is associated with lower labor income by about LKR 3,338 per month relative to own-account work.
5. **Job quality remains constrained by low-skill occupations.** In agribusiness, 90% of jobs are concentrated in just 27 occupations, with crop and livestock farm laborers alone accounting for 45% of jobs. In tourism, 43% of employment is in driver-related occupations, and over 60% of employment lies in the bottom two income quintiles. By contrast, healthcare is a relative exception: only 15% of workers have low education levels, and roughly three-quarters of employment is in occupations in the top 60% of the sector's income distribution.
6. **Online vacancy data suggests demand is growing, but concentrated in a narrow and only partly representative slice of the labor market.** Lightcast recorded 25,260 unique online postings between 2020 and 2024, rising sharply from 846 in 2020 to 6,730 in 2024. Yet the six priority sectors together accounted for only about 20%+ of online vacancies, underscoring how much labor demand remains outside formal online channels. Vacancy profiles also point to mixed demand: manufacturing represented 6.6% of postings, agribusiness 6.3%, infrastructure

and energy 4%, and healthcare only 2%, with many top postings still clustered in medium- or low-skill roles such as drivers, laborers, hand packers, and machine-related work.

7. **Search and matching frictions likely worsen labor market outcomes, especially for poorer and rural workers but more analysis is needed.** The little research available shows that search costs push poorer jobseekers into informal jobs for which they may be overqualified. Rural youth may rely on older job-search channels such as newspapers, indicating information barriers.

What is labor demand?

Labor demand is typically defined as the total quantity of labor (and hours) that employers – be they public or private – are willing and able to hire to fulfill their production needs, given a wage rate. Empirically, this includes the number of workers currently occupying jobs, the number of hours they work, plus unfilled vacancies– the latter difficult to ascertain without comprehensive vacancy surveys and big data analytics.

The transition from vacancies to actual employment typically requires low “labor market frictions,” which means that information should be available and sufficient for workers to know where and what jobs are available and that they can agree to work together.

However, it is not only the quantity of labor demand that matters, but also the quality, meaning what type of jobs are available in the market, in what occupations, requiring what levels of skills and competencies, and paying what remuneration. The quality of labor demand is linked to the type of production and technology in the economy and the broader macroeconomic picture that encourage or discourages moving towards the production frontier.

Labor demand is driven by both macroeconomic and microeconomic factors, including production technology and productivity and output prices (which typically increase labor demand), and capital intensity (which typically decreases labor demand). The lower the labor demand is, the lower the wages become. This note alone will not be able to capture the drivers of labor demand. It provides an empirical view, using descriptive statistics to complement BN1 and other BNs for some of the themes that capture and characterize labor demand in the country – in terms of both quantity and quality.

Weak aggregate labor demand is seen through decreasing employment rates and hours worked

In 2023, only 46% of the working-age population (15 years or older) were employed, and this rate has been steadily decreasing over the previous decade (from 51% in 2013) as seen in *Figure 1*. The decrease is seen among men and women, urban and rural areas, sparing no one. Even during the more growth-oriented period of 2015-2019, there was no discernable increase in employment, highlighting the finding in BN1 about the disconnect between output growth and employment growth.

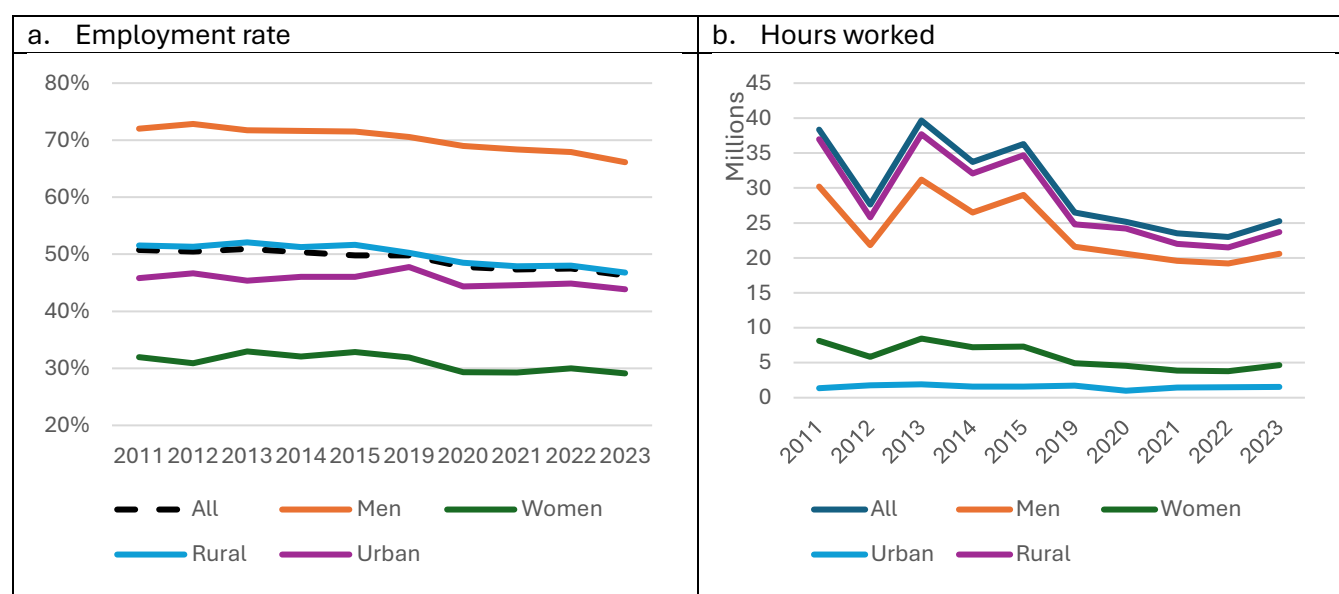
At the heart of this is people withdrawing from the labor force altogether, especially between 2019 and 2023 – the period of economic crunch. The withdrawal from the labor force is not restricted to women, whose labor force participation dropped from 34% to 31% between 2011 and 2023, but even among men, dropping from 74% to 68%. Women’s withdrawal from the labor force is attributed mostly to leaving “unpaid family work”, which is a type of employment among those in rural areas, supporting on-farm and off-farm business activities. Part of this change in the employment rate also because Sri Lanka is an ageing society. However, it is worth noting that even among 15-64-year-olds the rate declined from 55% in 2011 to 52%, with similar trends seen across sex and location.

While the average (and median) hours worked, per worker, remained relatively stable throughout the past years, dropping marginally from 45.5 hours in 2013 to 44 hours in 2023, there was an aggregate decrease in total hours workers because many dropped out of the employment. Total hours worked decreased from 39.7 million hours in 2013 to 25.2 million. This decrease in hours worked was actually most pronounced during the 2013-2019 period of economic growth, decreasing by 33% – especially among women (-42%), but also significantly among men (-31%). There was a further dip of -5% in the period 2019-2023, most pronounced in urban areas. This further emphasizes the fact that economic growth did not necessarily come with employment growth as illustrated in BN1.

While total hours worked in primary jobs dropped, so have those for secondary jobs. Over 95% of total hours worked in the economy is in primary jobs and has remained so in the previous decade, highlighting the fact that secondary employment are not necessarily anti-cyclical, or as a response to lower labor demand.

The decrease in labor demand may have come partially with increasing productivity per worker, but with slower growth rate of productivity over the years (reference Background Note xx on ICA Toolkit 2.0).

Figure 1: Employment rate and hours worked by categories, 2011-2023

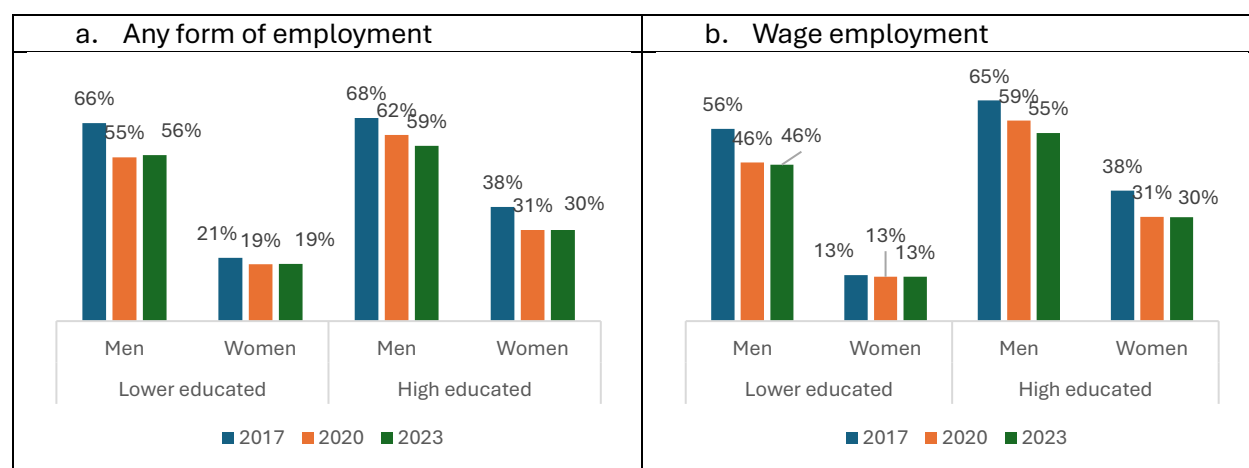


Source: Sri Lanka LFS

The weakening of labor demand is felt by youth in the past few years. Using a multinomial logit model and controlling for a few observable characteristics such as age, location and others, the probability of youth, depending on their gender and education level, of finding employment upon first entering the labor force has decreased between 2017 and 2020, with some stabilization in 2023 and potential improvement in 2024.

For lower educated men first entering the labor force (proxied at 18 years old with at most secondary education), the probability of finding any form of employment fell from 66% in 2017 to 55% in 2020, with only a small change to 56% in 2023 - **Figure 2** . For higher educated men, proxied by some form of university education and entering the labor force at 24 years old, the probability of finding any form of employment fell from 68% in 2017 to 62% in 2020 and further down to 59% in 2023. The probability of finding any employment is lower among women than men (since many remain out of the labor force) and the probability of finding wage employment – be it formal or informal – is lower regardless of education level.

Figure 2: The probability of youth finding employment upon first entering the labor market by sex and education level



Source: Sri Lanka LFS.¹

Most concerning is the generally low share and quality of private sector wage employment

Wage employment is an important indicator of economic development, and has historically been related to structural transformation². While entrepreneurship and self-employment can be important for innovation, multiple-person firms and business activities benefit from efficiency gains, economies of scale and complementarity of skill levels.³ Moreover, workplace experience is crucial

¹ Toby Linden, Dalal Moosa, Leopoldo Tornarolli, and Monica Yanez-Pagans. 2026 “My First Job: Young Labor Market Entrants and Wage Employment in South Asia.” Jobs in South Asia, Policy Brief 2 (forthcoming).

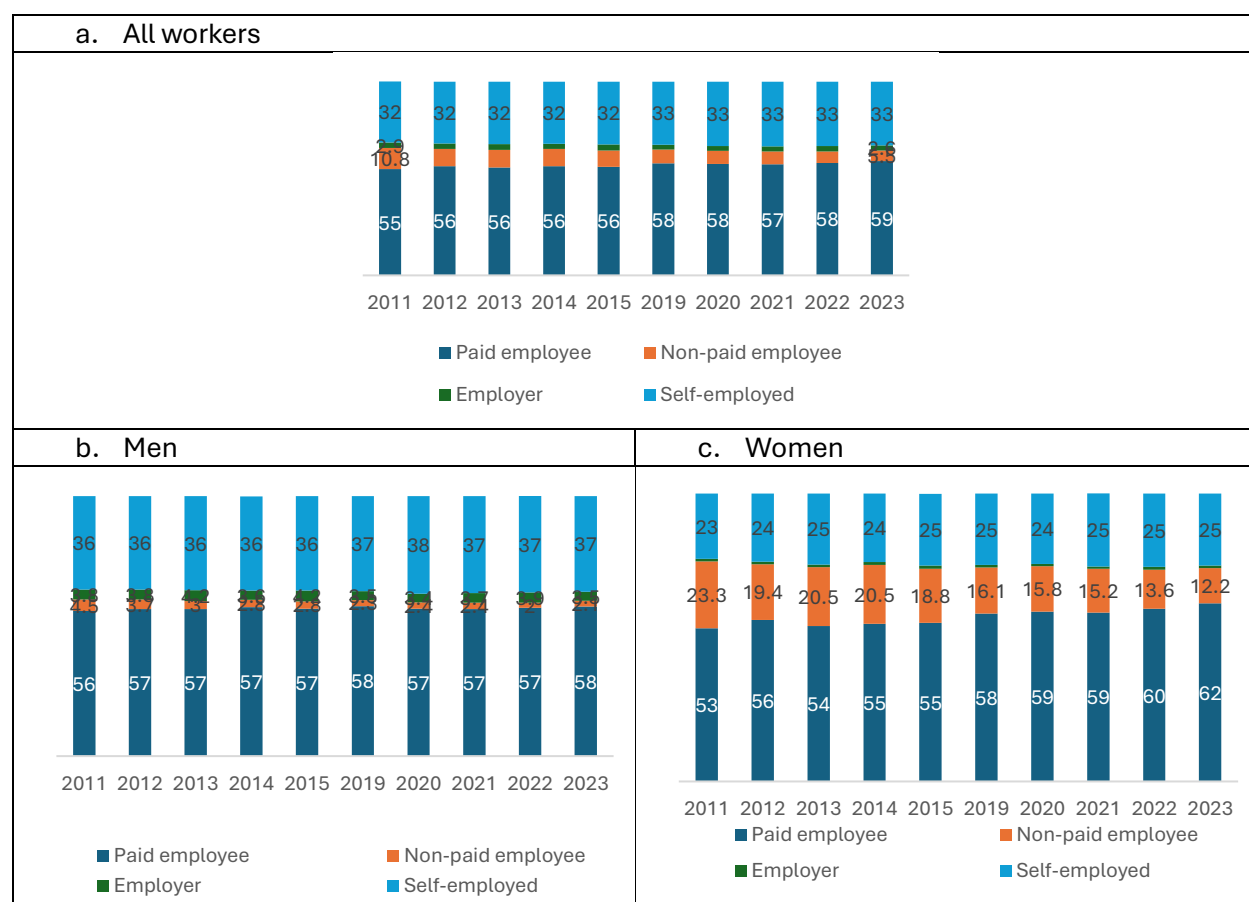
² Merotto, Dino; Weber, Michael; Aterido, Reyes. 2018. Pathways to Better Jobs in IDA Countries: Findings from Jobs Diagnostics. Jobs Series; No. 14.

³ World Bank. 2019. “IDA 19 Special Theme: Jobs and Economic Transformation.”

for building skills and human capital — about half of a person’s lifetime human capital is gained on the job. This accumulation is faster and higher in wage employment compared to self-employment, because workers have access to better technology and more opportunities to learn from others.⁴

In Sri Lanka, the majority of workers, 59% in 2023, were in wage workers (i.e., paid employee), a category that includes those with an employer-employee relationship, followed by nearly 33% as own-account workers (self-employed), with the remaining share as employers and unpaid workers (typically workers supporting their families on household businesses or farms), as seen in Figure 3. The share of wage employment has increased by only 4 percentage points between 2011 and 2023, driven to some extent by a rise in wage employment among women, which typically included the manufacturing, especially in the textile industry. The share of women working as unpaid family workers has decreased significantly from 23.3% in 2011 to 12.2% in 2023 – as many left the labor force.

Figure 3: Distribution of workers across employment status



Source: Sri Lanka LFS

⁴ Holla, Alaka, Norbert Schady, and Joana Silva, eds. 2026. *Building Human Capital Where It Matters: Homes, Neighborhoods, and Workplaces*. World Bank.

The share of private sector wage work in overall employment has been a stubborn percentage of 30-40% over the years, which means the private sector still offered more wage work than the public sector – despite the prevalence of public sector employment the country. In 2023, the share of public sector employment (which is primarily wage employment), was 15% of all employment, with a slightly higher share among men than women. There was a slight increase between 2011 and 2019, before retrenching a bit.

In general, over 73% of workers in Sri Lanka, regardless of employment status work in firms that have 0-4 employees (the 0 is among own-account workers who employ themselves). However, among wage workers, the share who work for firms or business that have less than 5 workers was 49% in 2023 – with barely any change from 2013, as seen in Figure 4. This itself is a sign of stagnant labor demand, where wage workers are not increasingly being employed in larger firms and where firms essentially are not growing. This is further highlighted in Background Note x (using the ICA Toolkit 2.0), showing that larger firms are not more productive, especially compared to country peers and that firms do not necessarily grow.

There are, however, differences by sector of employment and across time. In general, wage workers in the manufacturing sector are more likely to be found in larger firms (with 50 or more workers), and their share has increase 54% 2013 to 58% in 2023 – mostly at the expense of micro-firms, as seen in Figure 5. Still, it is worth noting that manufacturing firms, as highlighted in Background Note x (using ICA Toolkit 2.0) lag behind peers in terms of productivity.

Only a quarter of wage workers in agribusiness work in firms with 50 or more workers, and while this share has increased, there is much more potential for it to grow – although it seems by squeezing out the middle-size firms. Logistics, on the other hand, has had a reversal in the sense that more wage workers are engaged in micro-firms in 2023 than they were in 2013. Tourism remains dominated by micro-firms, where most workers, let alone wage workers, are employed.

Figure 4: Share of private sector wage employment in overall employment

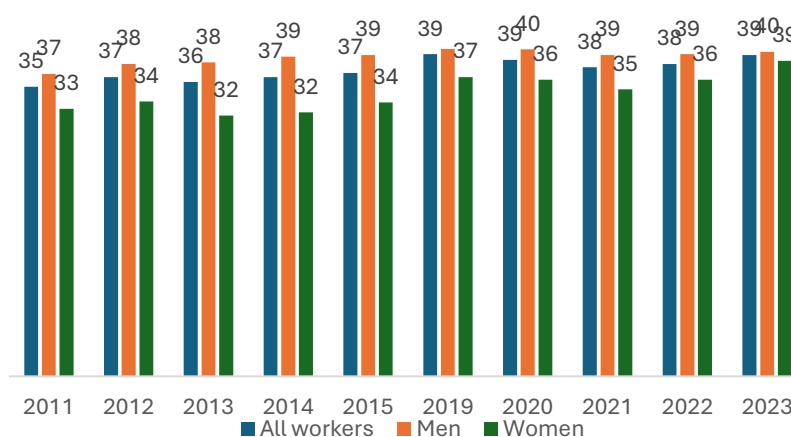


Figure 5: Distribution of private sector wage workers across firm size by priority sectors



Source: Sri Lanka LFS

The lack of firm growth and with it the share of wage workers in these firms is compounded by the fact that wages have performed poorly in the past decade. Given the generally weak labor demand, wage growth is expected to have also weakened. In general, monthly labor income (be it from wage or self-employment) saw an increasing trend (in real 2021 prices) between 2013 and 2019, before a steady decline that caused it to sink lower than its real value in 2013.

As of 2023, median labor income (from both wage and self-employment) stood at 20,057 LKR per month – this was higher than the minimum wage at the time of LKR 12,500, but not significantly higher than the minimum national poverty line of LKR 13,777 per person monthly as of December 2022, if we account for a family size of 5 and typically 1 main breadwinner. The average real labor income, about 25% higher than the median, followed the same first decreasing, then decreasing trend.

Between 2013 and 2023, the real median monthly labor income decreased by 7%, and by 2% for the mean, highlighting a wage compression over the years, as seen by the shrinking gap between the average and the median.

Interestingly, however, unlike other countries around the world, wage employment in Sri Lanka in the private sector does not necessarily imply higher labor income than self-employment in general –

when combining both own-account workers and employers. Broadly speaking, self-employed workers earned an average of LKR 25,849 per month in real 2021 prices in 2023, while their private sector waged peers earned LKR 24,438.⁵ For the typical, median, worker in the private sector, wage income was higher in 2023 than it was among the self-employed - Figure 6.

There are still two caveats about this. The first is that self-employment income in Sri Lanka is pushed up by relatively high averages among the employers category. Median labor income of employers are nearly twice as that earned by own-account workers.

This creates a pecking order, where employers⁶ make the most lucrative incomes, followed by wage workers and then by own-account workers. The median own-account labor income has decreased over the years and not seen the same rise and fall trend of the other two – in fact decreasing by 17% in real terms between 2013 and 2023. This tells us that, barring any issues with the data, there is a small share of employers who remain in the market and become quite successful, though still operating micro-enterprises.

However, wage workers are characteristically different from own-account workers, which means that the raw wage gap may hide observable differences that make the two distinct. To understand the impact of wage employment, compared to self-employment, income, a Mincerian equation, holding constant some observable socio-demographic and job-specific variables.

The results tell a particularly different story. For workers who have similar characteristics in terms of age, gender, education levels, location, and working in similar industries and occupations, being in wage employment has a negative impact on labor income, reducing labor income by LKR 14,824 per month (details in the Annex). Since explanatory power is weak, with an R-squared of 9% only, another equation is run excluding “employers”, who generally make up a small percentage of private sector employment, thus comparing private sector wage work to own-account work. In this case, the results show that being in wage employment still reduces labor income, by LKR 3,338 per month (n= 15,340, R-squared=24.51%). Being older, male, living in urban areas and having higher education all increase labor income, as expected (details in the Annex).

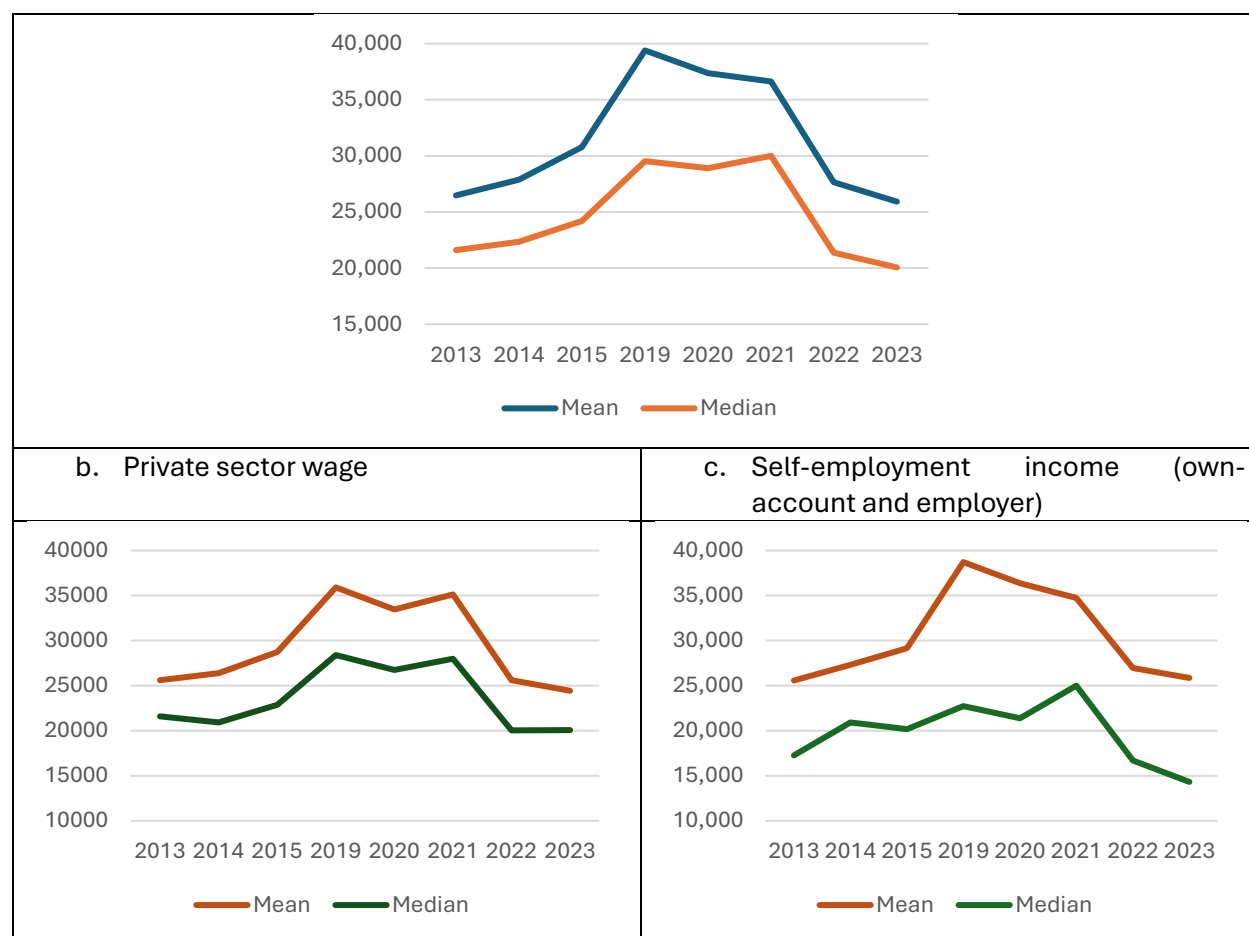
An important takeaway from this is the fact that gains made during the economic growth years have been almost completely eroded from 2019 onwards and will take time to rebuild. Further analysis on the sector specific labor incomes can be seen in BN1.

Figure 6: Monthly labor income (2021 prices LKR)

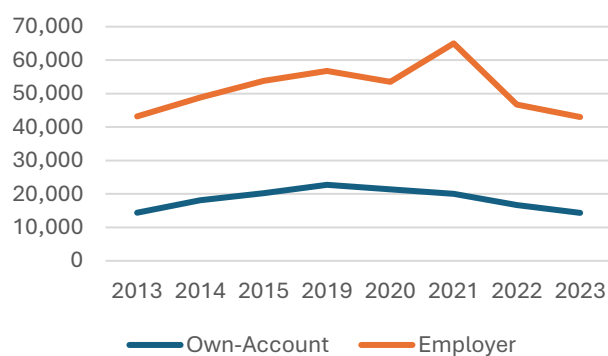
a. Labor income in general

⁵ Public sector wage workers earn on average 28% higher wage (raw wage difference) compared to private sector workers, and the median wage difference is 37% - highlighting the fact that there are more low-earning wage workers in the private sector.

⁶ The sweeping majority, 78%, of employers had 1-4 workers, and another 11% had 5-9 workers in 2023.



Source: Sri Lanka LFS

Figure 7: Median real monthly income of own-account workers and employers over the years.

Source: Sri Lanka LFS

It is important to note that the priority sectors were not necessarily spared this labor income erosion. Looking at private sector wage worker income, most sectors have experienced negative growth in real terms in terms of both average and median wages. The highest paying wages, on average, among

the priority sectors is in infrastructure and energy, followed by tourism – although tourism is dominated by self-employment work. Agribusiness pays wage workers the least. Self-employment, both own-account and employer, income by the priority sectors had a more mixed picture. Growth in self-employment income is seen definitively in Agribusiness (mostly the bakers and similar fields) and Logistics. For tourism, which is dominated by self-employment, real income has decreased.

Table 1: Average private sector wages by priority sector, and change 2013-2023 in terms of both median and mean.

	2023	2013-2023 growth	
	Mean	Mean	Median
Agribusiness	13,129	-24%	-21%
Manufacturing	22,561	-11%	-1%
Infrastructure & Energy	33,380	14%	-9%
Health	23,281	0%	-8%
Tourism	26,483	-7%	-12%
Logistics	23,086	-11%	-7%
No-priority	32,280	6%	-1%

Source: Sri Lanka LFS

Table 2: Self-employment income by priority sectors

	2023	2013-2023 growth	
	Mean	Mean	Median
Agribusiness	30,603	20%	19%
Manufacturing	28,874	18%	-17%
Infrastructure & Energy	34,382	-14%	-20%
Tourism	24,016	-19%	-23%
Logistics	42,719	24%	6%
No-priority	16,761	-14%	-20%

*Healthcare has few self-employment observations, as expected, and so dropped from this table.

Source: Sri Lanka LFS

Weak labor demand and slow productivity growth also translated to generally low-skill occupations⁷

⁷ This work is part of forthcoming analysis for the Sectoral Skilling Solutions agenda as part of the South Asia People team with: Monica Yanez Pagans, Wendy Cunningham, Harry Moroz, Emmanuel Vazquez and Luis Laguigne.

Low labor income growth and being engaged in low-productivity sectors can be seen in what people actually do in their jobs, and more specifically what type of occupations they are most likely to have for each of the priority sectors, what level of education those occupations typically need and their associated pay.

Pooling the years 2019 to 2023 of Sri Lanka's labor force survey allows us to describe what each of the priority sectors occupations are. Sectors can have overlapping occupations – think for instance of heavy truck drivers contributing both the Logistics sector as well as Infrastructure and Energy, and Agribusiness. This analysis further hones onto the activities of the workers and better identifies the skills and pay that they are associated with.

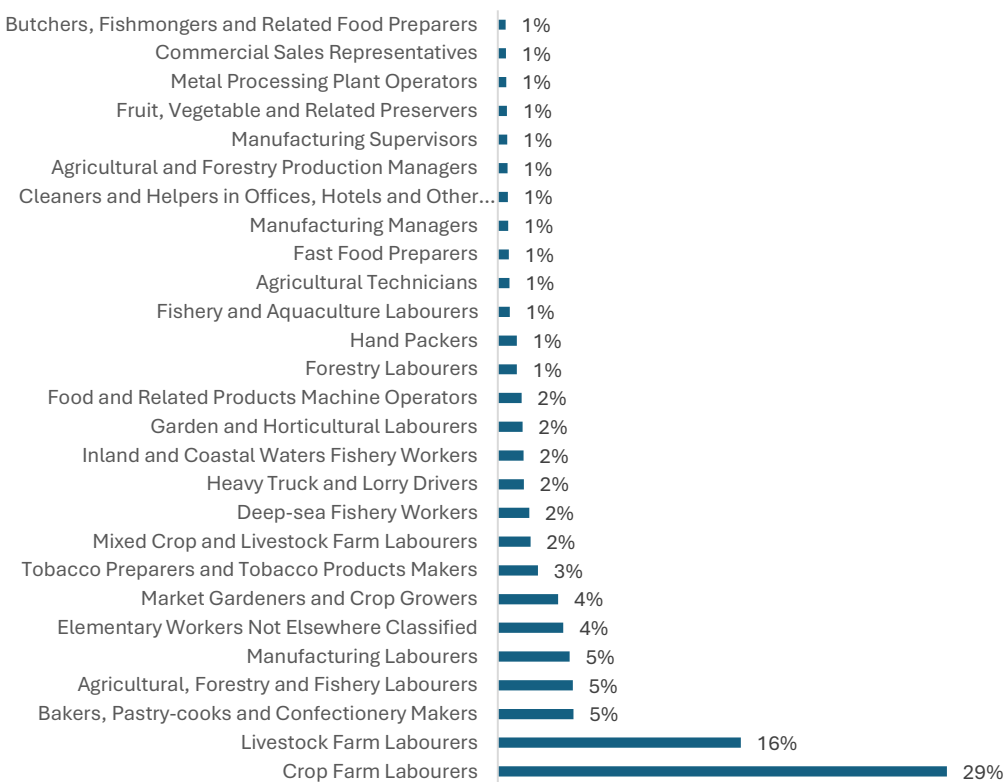
In Agri-business, 90% of jobs, or workers, are concentrated in 27 occupations (Figure 8). The most prevalent occupations are “Crop Farm Laborers” and “Livestock Farm laborers” – together representing 45% of jobs. On-farm occupations, in fact, represent at least 60% of employment in this priority sector, and entrants typically do not have an education beyond incomplete secondary education (associated with the minimum education years in Sri Lanka). Off-farm occupations, such as Manufacturing Laborers, Tobacco Preparers and Makers, Heavy Truck and Lorry Drivers, Machine Operators, Hand Packers, and others represent 21-30%.

The majority of workers in the sector - three-quarters of them – earn labor incomes in the bottom quintile of the sector's income distribution. Most of these jobs are associated with low skills, i.e. incomplete secondary education at most (Figure 9).

Higher skill levels are associated with higher pay. However, it is worth noting that there are 17 occupations only associated with a post-secondary degree in this priority sector, but together workers make up less than 1% of employment. They have generally higher pay, and include for example: Environmental and Occupational Health specialists, R&D Managers, Life Science technicians, mechanical engineers, data entry clerks and the less agri-business specific occupations like lawyers, business services and administration, finance managers, secretaries and sales and marketing managers, and even medical assistants. These are occupations that the sector may need to upgrade further its productivity.

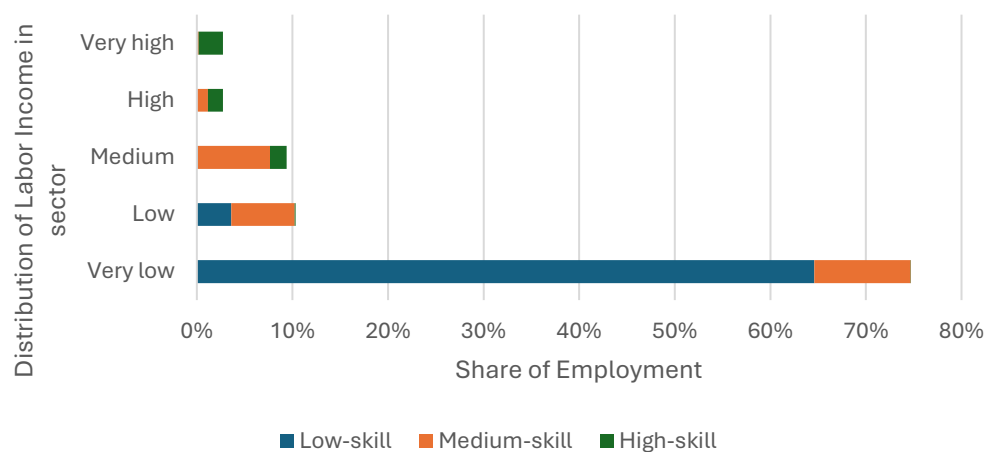
Informality is quite high in these occupations, averaging about 62% of employment, despite the fact that this sector captures more wage employment than some of the other priority sectors. Informality has been persistent in Sri Lanka, as highlighted in BN 1, as it is in many other countries around the world.

Figure 8: Top occupations in agribusiness and their share of employment



Source: LFS, pooled 2019-2023

Figure 9: Distribution of agribusiness employment shares across labor income quintiles and broad skill level



Source: LFS, pooled 2019-2023

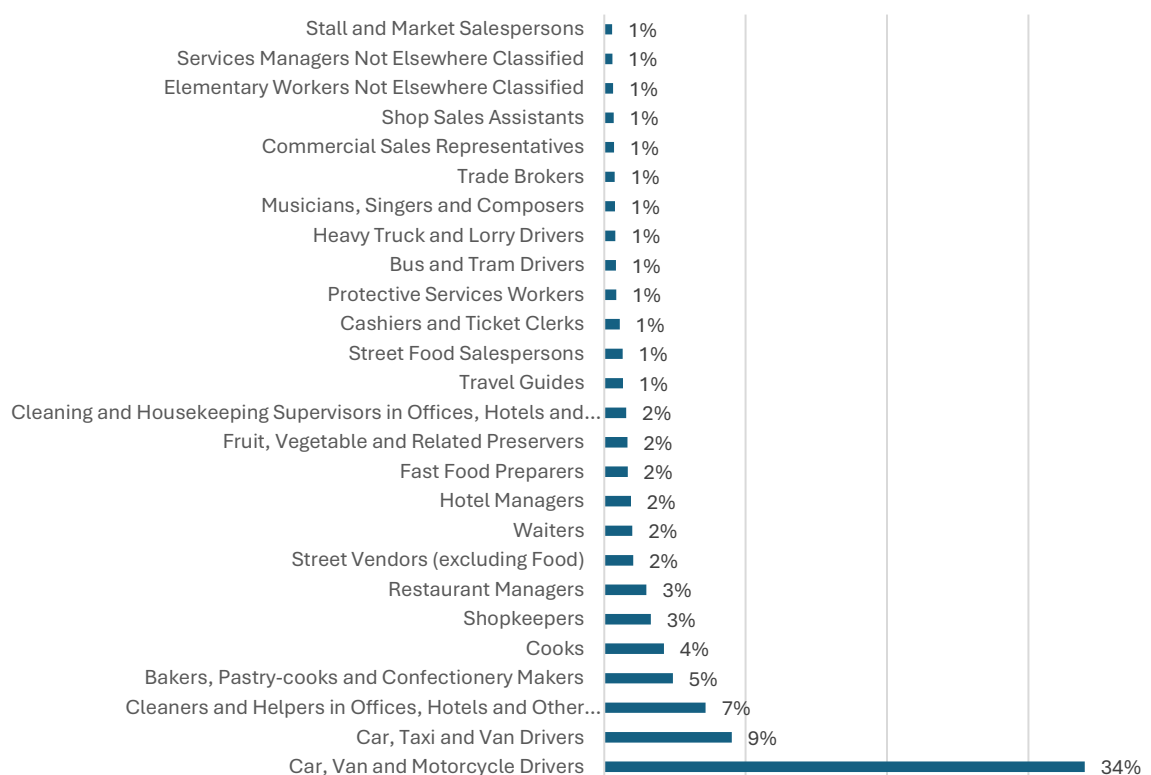
In tourism, 26 occupations make up 87% of employment. None of these occupations are associated with an entry level of education beyond complete secondary education, highlighting the fact that the sector does not rely on high formal education (Figure 10).

A significant share of occupations in this sector, in fact 43%, are related to car, van, motorcycle or taxi drivers, who generally have low wage – and who are overwhelmingly self-employed at the same time. Taxi drivers have slightly higher incomes (in the 3rd quintile of the sector's income distribution). About 20% of employment is in food-related occupations directly serving the sector. Travel guides make up only 1% of the jobs in the sector, reflecting a potential dearth.

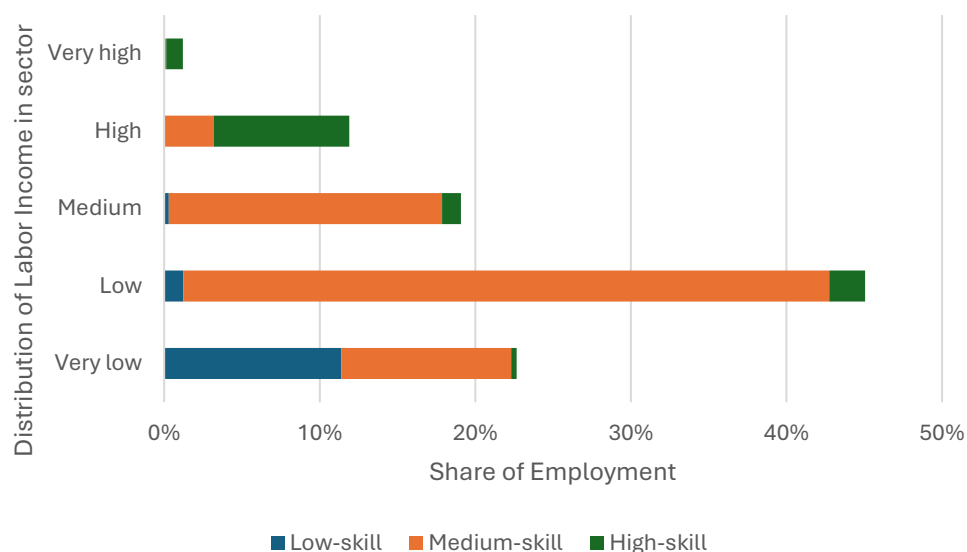
Over 60% of employment in the sector is in the bottom two quintiles of the labor income distribution, highlighting the need to upgrade the skills and potentially productivity of these workers (Figure 11). The sector pays better than Agribusiness, but most of the occupations are in the lower quintiles of the income distribution.

Only 13% of employment in the sector is in occupations in the top two quintiles of labor income, and these are, for example: manufacturing managers, finance managers, software developers, film, stage and related directors and producers, and mostly non-tourism-specific occupations.

Figure 10: Top occupations in tourism and their share of employment



Source: LFS, pooled 2019-2023

Figure 11: Distribution of employment in tourism across labor income and skill level

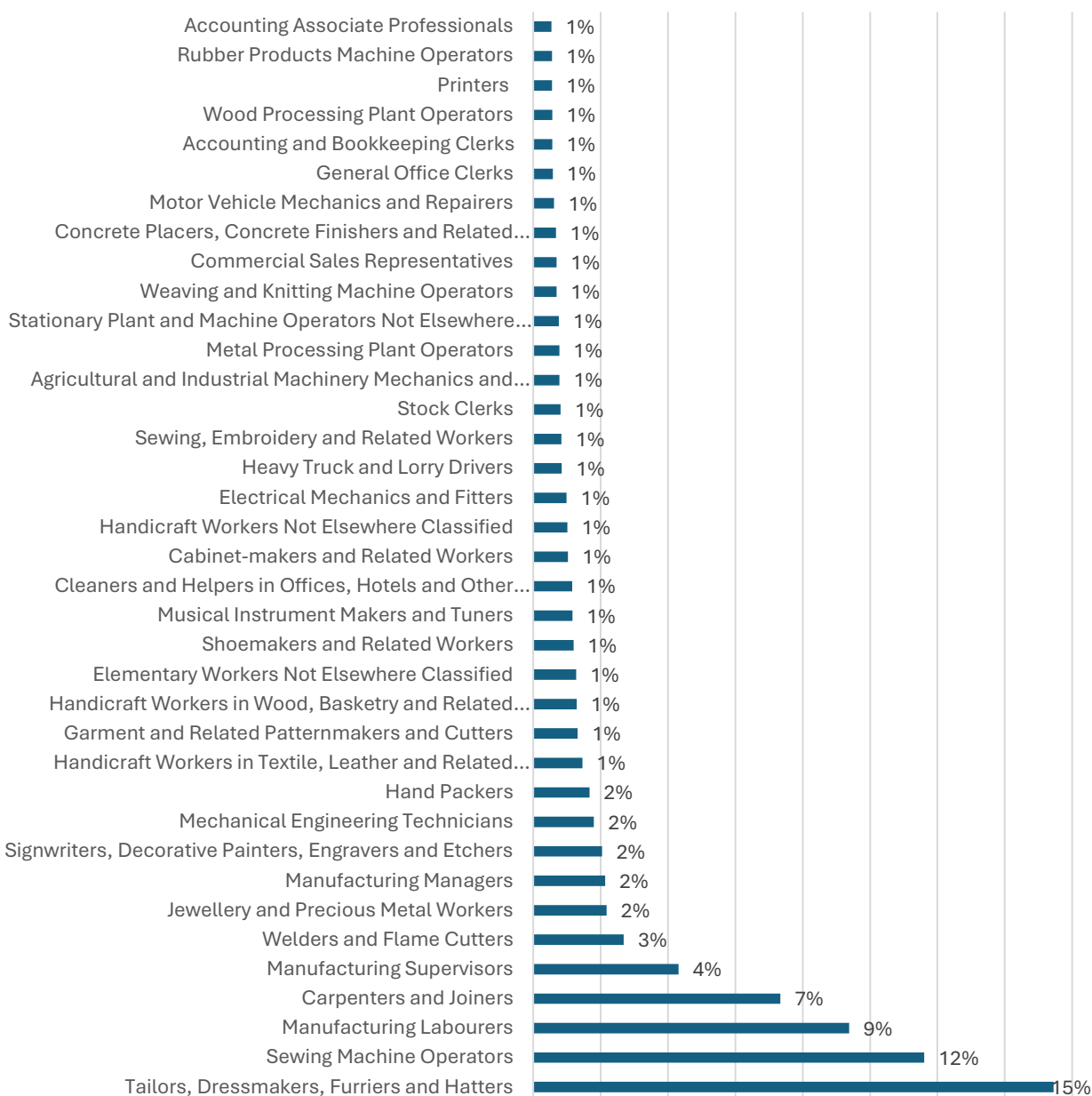
Source: LFS, pooled 2019-2023

Manufacturing has more diversity in terms of occupations, with 37 occupations representing 83% of employment in the sector (and the top 11 occupations representing 61% of employment), as seen in Figure 12. A little over half of the top occupations have workers with complete secondary occupation, also highlighting the more skill-intensive and complex tasks associated with the work in the sector, compared to the previous two for example. In fact, over 16% of employment in the sector require at least 12th pass at entry level, and these occupations include, for example: manufacturing supervisor or managers, mechanical engineering technicians, accounting associates, human resource managers, garment designers and others.

About a third of employment in the sector is in garment-specific occupations like tailors and dressmakers, sewing machine operators, sewing, embroidery and related work and others – highlighting the sub-sector's continued prominence.

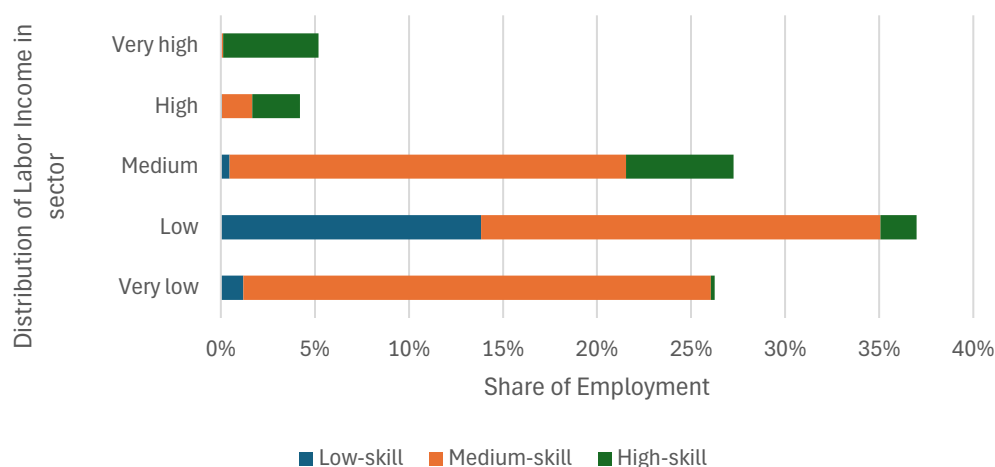
Around 68% of workers in the sector are in the bottom two quintiles of the sector's labor income distribution (Figure 13). It is important to note as well that there is a significant share of workers who have medium-level skill – typically having finished 10th pass, who earn relatively little income.

Figure 12: Top occupations in manufacturing and their share of employment



Source: LFS, pooled 2019-2023

Figure 13: Distribution of employment in manufacturing across labor income and skill level

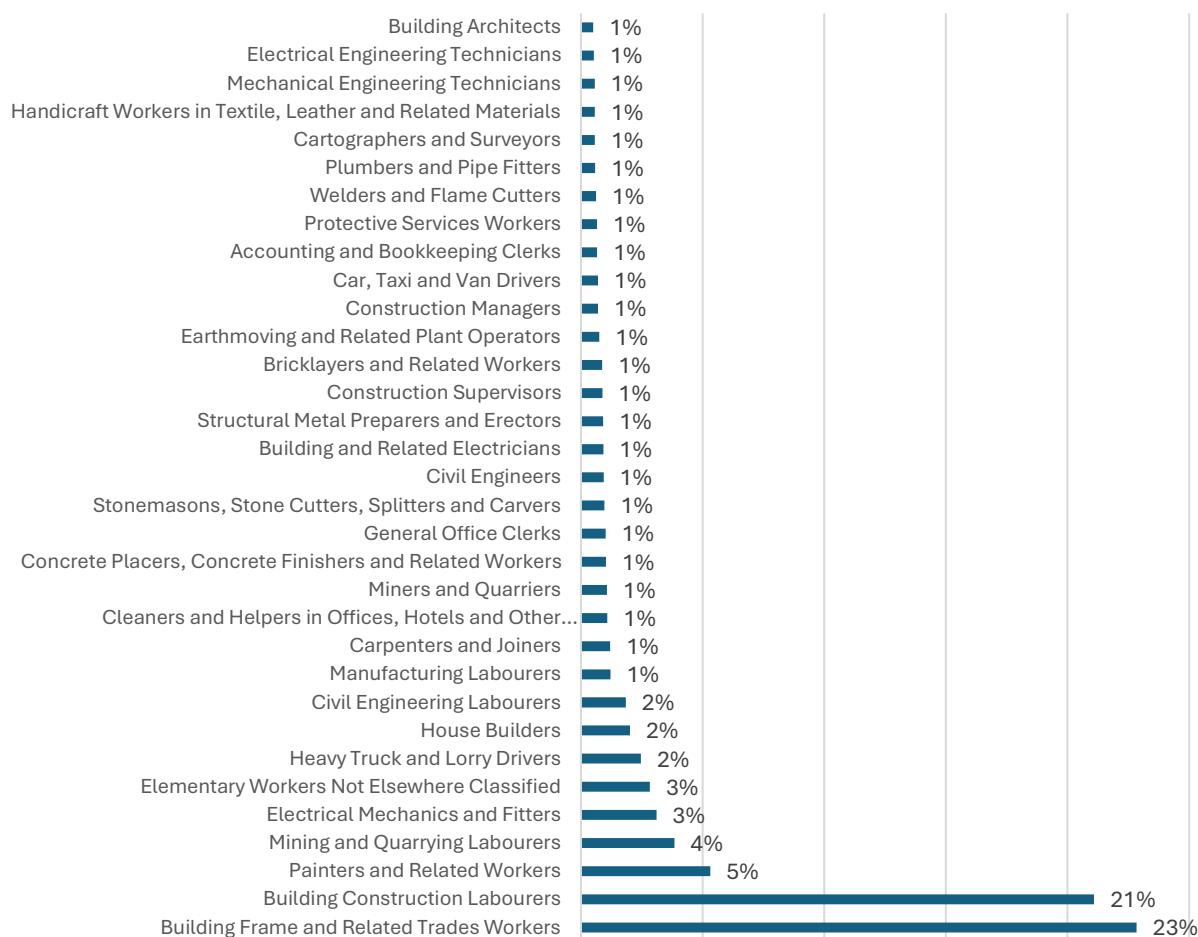


Source: LFS, pooled 2019-2023

In the infrastructure and energy sector, 33 occupations represent 85% of employment, with the top 9 occupations representing 75% (Figure 14). The top occupations include: Building Frame and Related Trade workers, Building construction laborers, Painters and Related Workers, Mining and Quarrying workers and others. For this sector, 70% of occupations are in the bottom two quintiles. Higher skill level is correlated with higher pay in the sector (Figure 15).

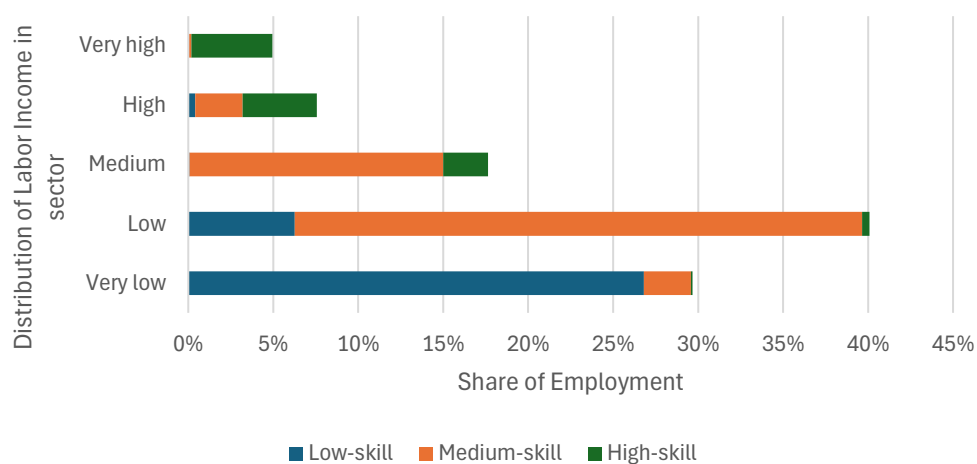
The top occupations in terms of pay include house builders, civil engineers, cartographers and surveyors, architects, engineers and technicians. The sector's top paying fields are more associated with technical expertise than broader white-collar expertise such as human resource management, finance and others. Still, only 2% of the employment in the sector requires post-secondary education, although almost all of these occupations pay well.

Figure 14: Top occupations in infrastructure and energy and their share of employment



Source: LFS, pooled 2019-2023

Figure 15: Distribution of employment in infrastructure and energy across labor income and skill level

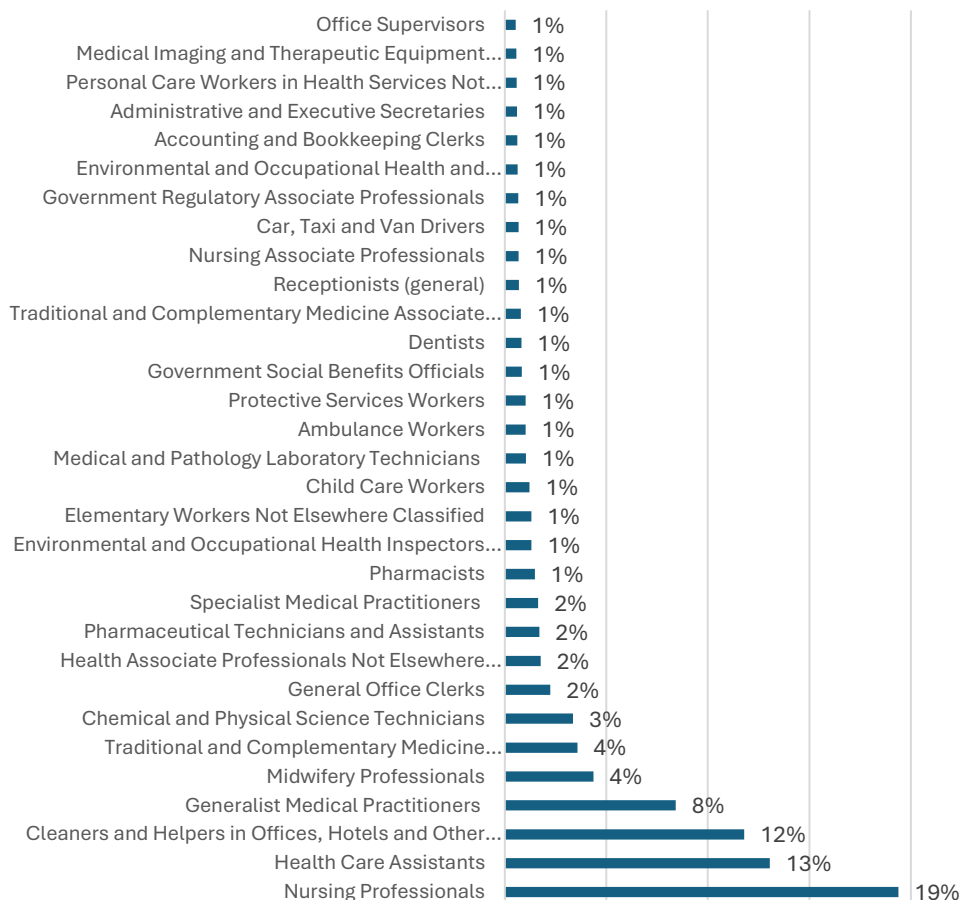


Source: LFS, pooled 2019-2023

In the Healthcare sector, 31 occupations represent 88% of employment in the sector, 16 of these occupations are directly related to medical and overall care representing about 65% of employment in the sector (Figure 16). Almost all the top occupations in terms of employment require at least secondary education, and two of them require higher education, namely Generalist Medical Practitioners and Office Supervisor. The only occupation that requires lower education at entry is Child Care Workers. Even Car, Taxi and Van drivers have an entry level education of complete secondary occupation in the sector, which is higher than their peers in other sectors. In general, only 15% of workers in the sector have low education levels (incomplete secondary education at most).

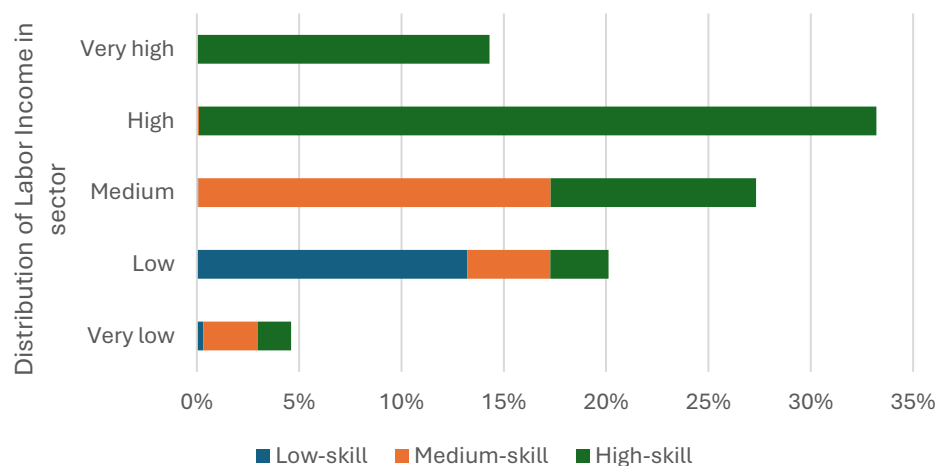
Three quarters of employment in the sector are in occupations that pay relatively high labor income – in the top 60% of the income distribution (Figure 17). It is worth noting that the majority of employment in the healthcare sector in Sri Lanka, over 70%, is by the public sector, which tends to pay considerably higher wages in general.

Figure 16: Top occupations in healthcare and their share of employment



Source: LFS, pooled 2019-2023

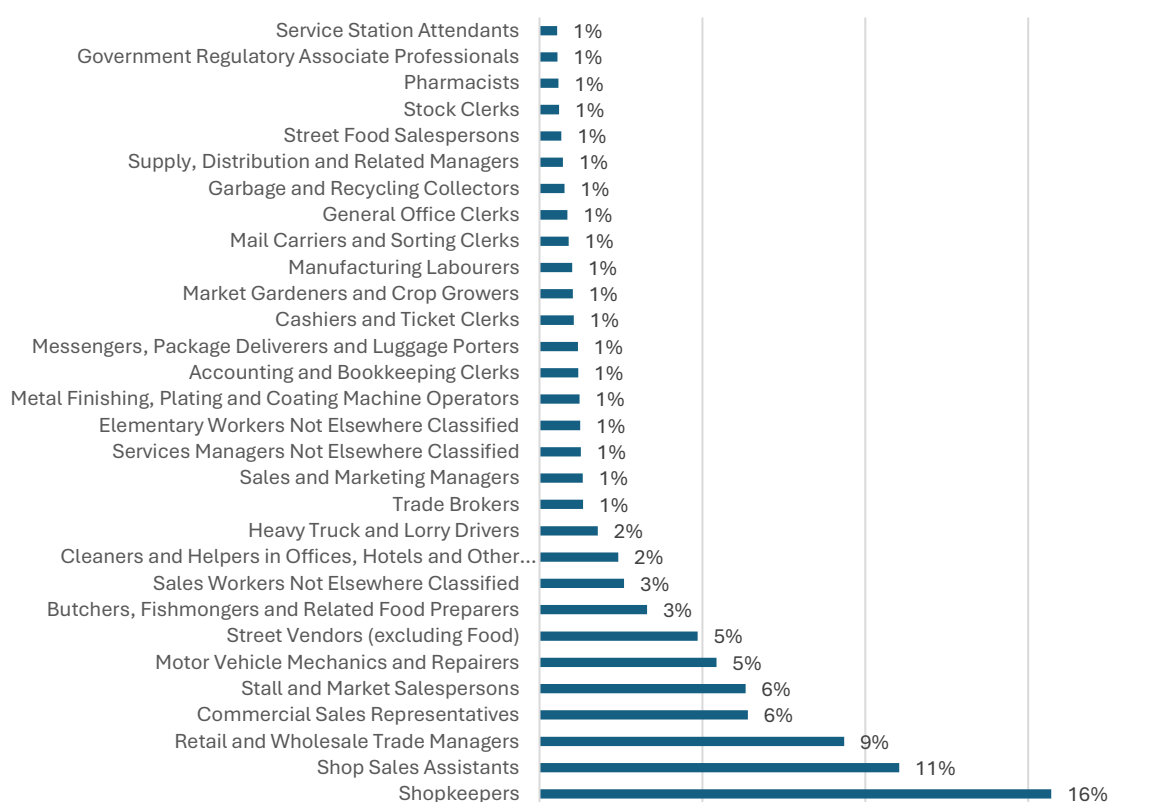
Figure 17: Distribution of employment in healthcare across labor income and skill level



Source: LFS, pooled 2019-2023

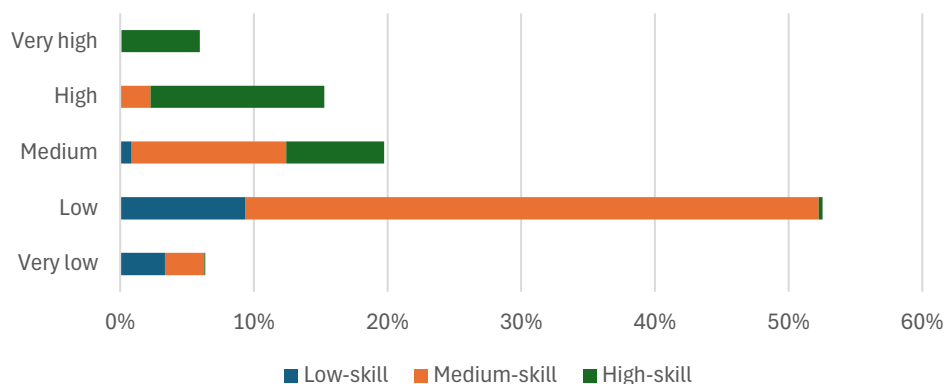
In the Logistics sector, 30 occupations account for 87% of employment (Figure 18). The largest shares of employment are in occupations such as shopkeepers, salesmen and women, and wholesalers. Some occupations are also in transport-related occupations such as Heavy Truck and Lorry Drivers, but those are a minority. Workers tends to have incomes in the higher quintiles in this sector, and as mentioned above, labor income generally improved over the past decade. The sector tends to attract more workers who have at least some secondary education and above (Figure 19).

Figure 18: Top occupations in logistics and their share of employment



Source: LFS, pooled 2019-2023

Figure 19: Distribution of employment in logistics across labor income and skill level



Source: LFS, pooled 2019-2023

Understanding vacancies: A look at Lightcast data

There is no real measure of total vacancies in Sri Lanka. There is no surveys that can capture unfilled jobs. One way to go about this challenge to better understand the bread of labor demand by looking at unfilled vacancies is to use Lightcast data. Lightcast (formerly known as Emsi Burning Glass), is a leading private company that provides real-time insights into jobs, skills and employment trends by scraping online vacancies, categorizing occupations at the 4-digit ISCO level. The analysis below looks at Sri Lanka's online vacancies in the priority sectors between 2020 and 2024.

In this period, there was a total of 25,260 unique postings, growing from only 846 in 2020 to 6,730 postings in 2024. It is important to note that as Sri Lanka is a largely informal economy, with the majority of employment being in micro-enterprises with no more than 4 workers, estimating vacancies even with rigorous surveys might not be reflective of reality given that many of these businesses do not think of the human resource needs in the typical way that vacancies capture (i.e., planning, keeping a vacancy opened...etc.) and most likely hire through word of mouth and with family and friends. One important evidence to this is the frequent bulletin that the Department of Manpower and Employment puts out, where for example in the first three weeks of January 2025, they could capture not more than 220 vacancies in the country altogether.

Nevertheless, Lightcast offers an important glimpse of the Sri Lankan market. The 6 priority sectors represent around **20+%** of vacancies online. There is a significant share of jobs that are digital.

For the Agribusiness sector, which represented, surprisingly, 6.3% of postings online for the country during the period, the occupations most demanded largely medium and low-skill, namely 1) Heavy Truck and Lorry Drivers, 2) Hand Packers, 3) Manufacturing laborers and, 4) Market gardeners and crop growers, in addition to manufacturing managers. To give a better sense of the broad and more occupation specific skills demanded, below is the profile constructed for Heavy Truck and Lorry Drivers, based on the characteristics found in Lightcast and O*NET. These have implications on the skilling initiatives.

Table: Skills typically associated and needed with Heavy Truck and Lorry Drivers (ISCO 8332)

Overall skill level	General important skills associated	Occupation-specific skills and abilities	
Medium-skill	Communication Strong Work Ethic Customer Service Self-Motivation Operations Positive attitude Verbal Communication Skills Problem Solving	Truck Driving Loading And Unloading Forklift Truck Strong Work Ethic Good Driving Record Vehicle Inspection Machinery Positivity Safety Standards Lifting Tanker Truck Operation	Refrigerated Trucking Biomedical Waste Transmission Commercial Driving Palletizing Excavation Warehousing Pallet Jacks Communication Management Customer Service Skills

For tourism, which represented xx% of postings in the period, the top occupations sought after relate to supervisory, managerial and digital roles such as chief executives, building and housekeeping supervisors, administration managers and hotel and restaurant managers – all of which generally need high skills. To give a better sense of the broad and more occupation specific skills demanded, below is the profile constructed for Managing Directors and Chief Executives (ISCO 1120), based on the characteristics found in Lightcast and O*NET, which have implications on the skilling initiatives and the needed career paths in Sri Lanka.

Table: Skills typically associated and needed with Managing Directors and Chief Executives (ISCO 1120)

Overall skill level	General important skills associated	Occupation-specific skills and abilities
High-skill	Interpersonal communication Negotiation Coordination Business development Leadership People management Innovative thinking	Strategic planning Using KPIs Understanding P&L and accounting and Finance Business acumen Performance management Fundraising Risk management Regulatory compliance Microsoft suite English language Analytical skills Relevant software

In manufacturing, which represented 6.6% of total vacancy postings, the job postings were a mix of skill levels, topped by: 1) Manufacturing managers, 2) Mechanical engineering technicians, 3) Heavy Lorry and Truck Drivers, 4) Manufacturing laborers and others fewer ones that include hand packers,

Stationary Plan and Machine Operators and others. Below is a sense of the skills required in two of the top vacancies, namely Hand packers (ISCO 9321) and Manufacturing Managers (ISCO 1321)

Overall skill level	General important skills associated	Occupation-specific skills and abilities
Hand Packers Low-skill	Detail oriented Strong work ethic Time management Interpersonal communication Self-motivation	Sorting Palletizing Quality assurance Warehousing Loading and unloading Power tool operation Operating forklift trucks General mathematics Inventory control Cycle counting Computer literacy
Manufacturing managers High-skill	Operations management Communication Leadership Customer service orientation Problem solving Coordination Planning Team management	Budgeting Project management Operating KPIs Continuous improvement process Auditing Understanding HVAC systems Procurement Managing supply chain Managing automation Forecasting and finance

In infrastructure and energy, which represented 4% of postings, the top postings were related to lower and medium skill, with only two high skill occupations. The top occupations are the following: 1) Heavy Truck and Lorry Drivers, 2) Cars, taxi and van drivers, 3) manufacturing labourers, 4) Building and construction labourers, and 5) Building Frame and related works.

Lastly, healthcare represented only 2% of the posting, with the highest posted occupation being car, van and taxi drivers, followed by Environmental and Occupational Health and Hygiene Professionals. Nursing professionals were only 0.2% of postings captured by Lightcast, highlighting that their recruitment channel may be mostly offline as well.

The database does not say much about placement, or the match itself.

A note on search and matching frictions

There is little evidence in Sri Lanka about matching frictions in the labor market that prevent the appropriate match between workers and employers. Chua and Chun (2016)⁸, using the World Bank STEP survey in urban areas in Asia, including Sri Lanka, argued that there are significant search costs

⁸ Chua, Kenn and Natalie Chun (2016). "In Search of a Better Match: Qualification Mismatches in Developing Asia." ADB Economics Working Paper Series. No. 467.

that constrain and impede poor households from investing in more and better job search. As a result, individuals from these poorer households end up taking jobs that are informal, and for which they are overqualified, leading to poorer outcomes. As a result, the authors argue that offering subsidies such as transport or how to submit applications, can increase search intensity and lead to better matches. Qualitative evidence with Sri Lankan youth point to limited information available about career paths and job and how to search for available jobs. Rural youth are potentially more disconnected and relying on older means of job search such as newspapers (Dissanayake, 2020)⁹. There is a need to further understand the extent of these barrier in a more rigorous way.

⁹ Dissanayake, Mihirani. (2020). Explaining mismatch between labor supply and demand in Sri Lanka. World Bank.

Annex 1. Mincer equation: Impact of employment status on labor income (private sector only)

	(I)	(II)
Wage employment	-14,824	-3,337.52
	[-3.76]***	[-3.31]***
Age	79.41625	8.978301
	[1.28]	[0.56]
Male	9775.346	7780.675
	[12.74]***	[13.89]***
Urban	9820.578	4402.968
	[3.76]***	[6.62]***
Years of Education	1177.587	1039.222
	[8.36]***	[12.18]***
Other controls		
Province	Yes	Yes
Industry (ISIC)	Yes	Yes
Occupation (ISCO)	Yes	Yes
_const	134122.7	129017.8
	[21.24]***	[16.32]***
N	16,050	15,340
R-squared	9%	25%

* Variation (I) account for all self-employed workers, i.e., both employers and own-account workers. Variation (II) excludes employers. T-statistic in brackets below the coefficient. *** p<0.001.